Theory case · Topic 3 · 2 points · 15 min

C23 — A flight school's simulator: leasing, a long-term loan or a credit line?

Cumulus Flight School S.L. needs a full-flight simulator that will be used for about eight years. A bank offers three options: (A) a long-term loan for the full price, repaid over eight years with interest; (B) a leasing contract: the school uses the simulator in exchange for monthly payments for eight years and can buy it at the end for a small amount; (C) a credit line with a limit equal to the price, renewable every year, on which interest is paid only on the amount drawn. Separately, the school expects short cash gaps every winter, when fewer students enrol.

Part (a) · 1 point

Describe each of the three instruments

- **(A) Long-term loan:** the school receives an amount that must be paid back at a certain time and pays for the service through the **debt interest** [Slide 31].
- **(B) Leasing:** the school obtains the **use of a fixed asset** in exchange for contractual, periodic payments; as lessee, it has the **right to buy** the asset at the end of the period. It can be **finance** or **operating** leasing [Slide 33].
- **(C) Bank credit (credit line):** the bank makes a **maximum amount** available; the school borrows what it needs up to that limit and pays interest **only on the amount borrowed**; interest rates are higher. Renewed yearly, it is short-term bank financing [Slides 31, 35].

KEY POINTS

- Loan: an amount received and repaid at a certain time, paying debt interest.
- Leasing: use of a fixed asset for periodic payments; the lessee has the right to buy at the end; finance or operating leasing.
- Credit line: the bank makes a maximum available; interest only on the amount borrowed; higher rates.

Part (b) · 1 point

Recommend how to finance the simulator and the winter cash gaps

The simulator will be used for eight years, so it should be financed with **long-term** resources: either the **loan** (A) or the **leasing** (B), whose eight-year payments match its useful life. Leasing is attractive for a flight school because it obtains the use of the asset [Slide 33] without a large initial outlay (reasoning applied to the case, beyond the slides) and keeps the **option to buy** it at the end. Financing it with the **credit line** (C) would be a mistake: the line must be renewed every year, so the bank could refuse (reasoning applied to the case, beyond the slides), and its interest rates are higher [Slide 31].

The **winter cash gaps**, instead, are short and recurring, so the **credit line** is the right tool: the school draws only what it needs for a few weeks and pays interest **only on the amount borrowed** [Slide 31].

KEY POINTS

- Simulator (8-year asset): long-term financing, loan or leasing; leasing also offers flexibility and the purchase option.
- Winter gaps (short, recurring): the credit line, since interest is paid only on the amount drawn.
- Financing a long-lived asset with a yearly-renewable credit line is risky and expensive.